

earnings will determine whether you will achieve adequate returns on your investment. If your business generates more cash than is needed to remain operational, which is the kind of business you want, observe closely the actions of management. A rational manager will invest excess cash only in projects that produce earnings at rates higher than the cost of capital. If those rates are not available, the rational manager will return the money to shareholders by increasing dividends and buying back stock. Irrational managers constantly look for ways to spend excess cash rather than return the money to shareholders. They are ultimately revealed when they invest below the cost of capital.

Is Management Candid with Its Shareholders?

Although you may never have the opportunity to sit down and talk to the chief executive officer of your business, you can tell much about CEOs by the way they communicate to their shareholders. Does your manager report the progress of the business in such a way that you understand how each operating division is performing? Does management confess its failures as openly as it trumpets its success? Most important, does management forthrightly proclaim that the company's prime objective is to maximize the total return of their shareholders' investment?

Does Management Resist the Institutional Imperative?

There is a powerful unseen force that allows managers to act irrationally and supersede the interests of owners. The force is the institutional imperative—mindless, lemming-like imitation of other managers who justify their actions based on the logic that if other companies are doing it, it must be all right. One measure of managers' competence is how well they are able to think for themselves and avoid the herd mentality.

Financial Tenets